The complaint

Mr and Mrs W complain Ageas Insurance Limited applied the wrong policy excess when they made a claim for damage under their home insurance policy.

Mr W is the representative on this complaint. So for ease I've referred to all actions and comments as being those of Mr W.

What happened

In February 2020 there was a storm. It resulted in significant rainfall in a short period of time and caused flooding to the street where Mr W lives. He woke in the early hours of the morning to find water coming into his property at the ground floor level. This water caused damage to his home.

Ageas accepted the claim and agreed there were storm conditions at the time of the damage. But given the water entered the property at the ground level, it charged him the excess under the 'flood' section of his policy, which was £1,000.

Mr W complained to Ageas. He said the cause of the flood had been the storm, and the heavy rainfall as the storm passed. So he thought the 'storm' excess should be applied, which he says is £100. He said the river hadn't burst its banks near his property, so it was only the rainfall, from the storm, which had resulted in water coming into his home. Ageas didn't agree to change its mind so Mr W complained to our service.

Our investigator thought Ageas had acted reasonably in applying the flood excess. She said whilst there was no doubt there was a storm, the damage was caused by a build-up of water, so it was fair that Ageas had classed it as a flood.

Mr W didn't accept that. He said Ageas had failed to recognise that the insurance policy has clauses for storm and flood, but only flood has been used to determine the excess payable. He said he'd tried to reach an agreement with Ageas but hadn't been successful.

As Mr W didn't accept what the investigator said, the matter has come to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr W's policy applies different excess to different insured events. I've noted Mr W said his storm excess was £100. I'd like to clarify, for Mr W's benefit, from looking at his policy schedule his general buildings insurance excess, which covers storm, is £350, not £100.

Ageas accepts there was a storm on the day Mr W's property suffered damage. But it says it has applied the flood excess of £1,000 because the damage is typical of flood damage. It says the water entered Mr W's property at the ground level through a combination of a local river bursting its banks, and the local drainage system being overwhelmed by heavy rainfall. Mr W argues if it wasn't for the storm, the flood wouldn't have happened. He also noted the river didn't burst its banks near his home, so he believes the main factor to be the storm.

Having looked at both sides, I don't think Ageas has treated Mr W unfairly in applying the flood excess. Flood is defined in the policy as:

"Overflowing or movement of a body of water (volumes, weight or force of which are substantial and exceptional beyond normal limits) which enters a property rapidly from an external source from outside the Buildings and which enters at the ground floor or below."

Based on the above I consider the water entering Mr W's property to be fairly defined as a flood. And whilst I accept that the storm was the cause of the heavy rainfall, the rainfall itself didn't damage the property. It was the overflowing water entering Mr W's property at the ground level which caused the damage to his home. So I think Ageas has acted fairly in saying the damage is covered under the flood section of the policy. I accept there's some uncertainty over where the water came from; whether the river was a contributing factor or not. But on balance having considered everything I don't think it's unreasonable for Ageas to consider the claim under the flood section.

Mr W says Ageas hasn't considered that both sections can apply. I agree that it hasn't. But I don't think that would make a difference to the outcome of this case even if it had. I say this because Mr W's policy says:

"if more than one policy section is affected by the same claim only one excess will be deducted. If the excesses under each section are different the higher excess will be deducted."

So, if Ageas accepted there was storm damage and flood damage, it seems Mr W would probably still have been charged a £1,000 excess.

I recognise there's a significant difference between the excess amounts, but its up to insurers to decide what levels they apply when setting insurance prices. And based on everything above I don't think it treated Mr W unfairly in applying the £1,000 excess.

My final decision

My final decision is that I'm not going to ask Ageas Insurance Limited to do anything differently.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs W and Mr W to accept or reject my decision before 31 December 2020.

Michelle Henderson
Ombudsman